THE
ANNOUNCEMENT ROOM

EQUITY RESEARCH FOR BUSY INVESTORS. WHAT HAPPENED. WHY IT MATTERS. WHAT COMES NEXT.

MAYNE PHARMA GROUP LIMITED (ASX: MYX) SALE OF MAYNE PHARMA INTERNATIONAL · A$

Mayne Pharma is selling its International business for A$55.5m to focus on the US

Mayne Pharma has signed a binding agreement to sell Mayne Pharma International (MPI), its Australian and international segment, to Evaris Pharma for A$55.5m in cash at completion. MPI made up 18% of FY26 group revenue but only 4% of direct contribution. Completion is expected in 3Q FY27 and needs ACCC clearance.

A$55.5m
Cash at completion
Subject to working capital adjustments

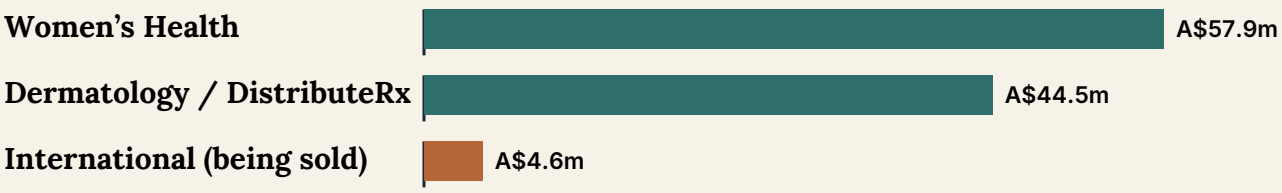
0.79x
FY26 MPI revenue
12.1x FY26 direct contribution of A$4.6m

A$122.8m
Pro forma cash
A$67.3m at 30 Sep 2026 plus A$55.5m proceeds

FY26 REVENUE BY SEGMENT (A$M, GROUP A$383.7M)



FY26 DIRECT CONTRIBUTION BY SEGMENT (A$M, GROUP A$107.1M)



International earned a direct contribution margin of about 6.5% in FY26 (A$4.6m on A$70.7m). Women's Health was about 33% and Dermatology / DistributeRx about 32% (TAR calculations from reported segment figures).

WHAT IS BEING SOLD

All shares in MPI: contract development and manufacturing (CDMO) and Australian and international commercial operations, centred on the Salisbury facility in South Australia. About 240 employees.

WHAT MAYNE PHARMA KEEPS

The US Women's Health and Dermatology businesses, including the DistributeRx direct-to-patient platform. A supply agreement keeps DORYX MPC and TOLSURA made at Salisbury for US customers.

WHAT THE COMPANY DOES

Mayne Pharma is an ASX-listed specialty pharmaceutical company with US businesses in women's health and dermatology, plus the International segment now being sold.

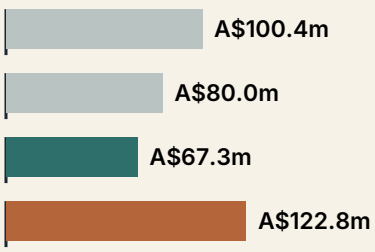
Sources: Mayne Pharma ASX announcement and investor presentation, Divestment of Mayne Pharma International (6 Nov 2026); FY26 results announcement (27 Aug 2026), used for segment revenue and direct contribution; 1Q FY27 results (26 Oct 2026), used for cash at 30 Sep 2026. Direct contribution is a company-defined, non-IFRS measure. Margins and shares are TAR calculations from reported figures. Share-price data is not included.

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WHY IT MATTERS AND WHAT COMES NEXT

A smaller, US-only group with more cash, and questions on how it is used

CASH BEFORE AND AFTER THE SALE (A$M)



Pro forma figure is the company's own sum of cash and marketable securities plus the headline price. It ignores working capital adjustments and any cash movements before completion.

WHAT 1Q FY27 SHOWS

International revenue A$20.2m, up 13%; direct contribution A$1.4m, down 5%; gross margin 31%.
Group revenue A$95.7m, direct contribution A$23.3m.
International was about 21% of 1Q revenue and 6% of direct contribution (TAR calculations, unaudited).
Cash fell from A$80.0m to A$67.3m in the quarter.

DEAL TERMS AND CONDITIONS

Buyer: an entity owned by General Pharma Bidco Pty Ltd (Evaris Pharma), a Perth-based supplier of hospital and specialty products.
Structure: share sale, going concern. No financing condition.
Needs a determination from the ACCC. No FIRB approval and no Mayne Pharma shareholder vote required.
Transitional services and brand licence agreements run for a limited time after completion.

NOT DISCLOSED IN THE ANNOUNCEMENT

Book value of MPI, any accounting gain or loss, tax on the sale, and transaction costs.
The size of the working capital adjustment.
Specific use of proceeds. The company points to "greater financial flexibility" and says there is potential for acquisitions or in-licensing, but no commitment is made.

WHAT TO WATCH

ACCC determination
Completion is expected in 3Q FY27 and depends on the ACCC giving its determination.

Use of the cash
Whether proceeds go to US Women's Health, DistributeRx or acquisitions and in-licensing.

Final proceeds
The A$55.5m can move with the working capital adjustment at completion.

US momentum
1Q FY27 Dermatology / DistributeRx direct contribution was down 61% (US$3.1m) as generic RHOFADE entered. Women's Health direct contribution rose 4% (US$12.8m).

TAR TAKE

Mayne Pharma is exchanging a segment that produced 4% of FY26 direct contribution for A$55.5m of cash, lifting pro forma cash to A$122.8m and ending the capital needs of an owned plant. The price is 0.79x revenue and 12.1x direct contribution, and International was growing revenue in 1Q FY27 at low margins. The case now rests on the US: Women's Health is growing while Dermatology is under pressure, and management has not said how the cash will be used. The deal also still needs ACCC clearance. TAR interpretation, not a forecast.

Sources: Mayne Pharma ASX announcement and investor presentation, Divestment of Mayne Pharma International (6 Nov 2026); 1Q FY27 results (26 Oct 2026), used for 1Q segment figures and cash at 30 Sep 2026; FY26 results (27 Aug 2026), used for cash at 30 Jun 2025 and 30 Jun 2026 (A$80.0m, down from A$100.4m). Pro forma and 1Q figures are unaudited. TAR calculations use reported figures.

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